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Broadcom Adjusted Earnings Beat Views

In its first quarter as a combined company, the chip maker posted a loss

By Tess Stynes

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Broadcom reported better-than-expected adjusted earnings on Thursday. Above, an office building in Rancho Bernardo, Calif. REUTERS

Broadcom Ltd. AVGO **-0.82%** ▼ on Thursday reported adjusted earnings that beat expectations for its first quarter as a merged company, though overall the chip maker posted a loss.

Shares rose 6.5% to \$165.02 in after-hours trading as the company offered a rosy outlook for the current quarter.

The company also raised the quarterly dividend to 50 cents a share, up a penny a share.

Chip maker Avago Technologies Ltd. completed its roughly \$37 billion acquisition of rival Broadcom Corp. in February, with the combined company retaining the Broadcom name and AVGO ticker symbol.

The combined company is in the early stages of integration, and executives hope to achieve annual cost savings of \$750 million.

The deal, one of the largest mergers ever in the chip sector, melds together complementary product lines, including chips that handle different chores in smartphones from Apple Inc. and Samsung Electronics Co. However, the combination leaves the company less reliant on the smartphone sector, where sales growth has been slowing.

On Wednesday, research firm International Data Corp. projected that annual shipments of iPhones would decline this year for the first time. Supplying chips that filter signal interference in phones operating on several different spectra is a major business for Broadcom.

The combined company also boasts a segment that sells chips used in communications and data-center equipment, where growth prospects are stronger.

Broadcom Chief Executive Hock Tan said that the company's increased scale and diversity are proving resilient, as strong product cycles in its largest segment—wired infrastructure—is offsetting weaker demand in its enterprise storage and wireless segments.

For the period ended May 1, Broadcom reported a loss of \$1.19 million, or \$3.02 a share, compared with a year-earlier profit of \$344 million, or \$1.21 a share. The latest period includes results of the combined company, while the year-earlier period relates solely to Avago.

Excluding acquisition- and restructuring-related charges and other items, adjusted per-share earnings from continuing operations rose to \$2.53 from \$2.13. Analysts

expected per-share profit of \$2.38.

Revenue more than doubled to \$3.54 billion. Net revenue from continuing operations also surged, reaching \$3.56 billion—on the higher end of Broadcom’s projections.

Gross margin from continuing operations fell to 60% from 61%.

For the current quarter, Broadcom forecast net revenue from continuing operations of \$3.75 billion, plus or minus \$75 million. Analysts polled by Thomson Reuters expected revenue of \$3.71 billion.

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